

India's entire lithium-ion cell demand is met through imports, making EV makers vulnerable to supply chain shocks.

"China took decades to build this with substantial policy support and coordination across the value chain. We need to be faster than that. Every company needs to find its niche to focus within the value chain. You have to have companies that do raw material extraction, refining and components. There needs to be an end-to-end value chain, from materials to cells to packs," says Gourineni.

While the government is helping the industry by driving downstream demand creation from schemes such as PM e-Drive, Gourineni says there is a need to mandate domestic value addition. "Localisation has to increase. If we are forced to compete with global economies of scale while we are just getting started, it will be difficult," he says.

CV Manohar, Head of Cell Research and Development at Tata Group-owned Agratas, agrees. "Continued localisation of supply chains and greater access to critical raw materials will play an important role in strengthening resilience and supporting long-term competitiveness," he says.

Competing with China's overcapacity in battery cells is not going to be easy for Indian cell manufacturers. Even though Amara Raja is investing ₹9,500 crore, it has no clarity on the price its customers are willing to pay for the cells. "Made-in-China prices are not realistic on Day 1," says Gourineni. "We are investing billions of dollars. If the customer is not going to pay a premium for a cell made in India, where industrialisation is just taking place, that's our biggest concern," he adds.

BECOMING SELF-RELIANT

The National Critical Mineral Mission (NCMM), launched in 2025, is India's blueprint to secure supply chains of critical minerals

NCMM was launched for seven years from FY25 with a proposed expenditure of ₹16,300 crore and an expected investment of ₹18,000 crore

The NCMM has a ₹1,500 crore incentive scheme to boost recycling of critical minerals

KhanijBidesh India Ltd (KABIL), under the Ministry of Mines, has acquired 15,703 Ha in the Catamarca province of Argentina for exploration and mining of Lithium



"I will have to charge a higher cost because my own industrialisation is just starting. If you add domestic raw materials to that, it all adds up," says Gourineni.

LESSONS FROM ACC-PLI

Clearly, the battery PLI scheme has not yielded results yet. "The PLI was well intentioned. But there are a couple of things in hindsight where you can say that there is some learning. Even companies that had PLI had challenges outside their control. Their projected capacities have not appeared," Gourineni says, adding that "a fundamentally different approach has to be taken."

Under a PLI scheme, companies must first deploy capital and absorb all execution risks before getting financial benefits. "If a project burns through all that capital and is not able to succeed, no PLI would come," says Gourineni.

Drawing a comparison with the India Semiconductor Mission, where capital subsidy is given, Gourineni says the government is underwriting a lot of the risk through the execution of the project. "If we have to look at different ways to incentivise cell manufacturing, there needs to be a way that the government also takes some of the risk during the execution of the project," he says.

Unlike Amara Raja, being part of the Tata group gives Agratas several strategic advantages as it scales its business. Tata's passenger vehicle and commercial vehicle businesses will be its anchor customers.

"Together, these strengths enable Agratas to accelerate execution, enhance resilience, and help build an integrated mobility and energy ecosystem," says Manohar.

Agratas' 20 GWh cell unit in